

Micron Technology, Inc.

MU NASDAQ

Buy

\$1073.47 ▲ 0.15%

12M Price Target
\$1250.00

52-Week Range
\$154.65 – \$1255.00

Market Cap
\$1.21T

MU: Citi Doubles Down Ahead of Earnings, Memory Cycle Roars

WHAT HAPPENED

- MU basically held its gains ahead of earnings tomorrow — Citi came out and reiterated their bullish call (they "doubled down"), which is analyst-speak for "we're sticking our necks out that this quarter will be a beat." Options traders are aggressively buying calls at \$1050-\$1060 strikes, which is smart money betting the stock keeps ripping post-earnings.
- Two clouds though: (1) an ITC patent investigation from Netlist got launched against MU, SuperMicro, and HPE — usually a slow-burn legal headache, not an existential threat, and (2) a tech exec publicly warned China is about to "burst the memory pricing bubble," which is why the stock cooled from Tuesday's \$1096 high.

WHY IT MATTERS

Here's the setup: MU is up nearly 7x from its 52-week low, sitting at 84% of its yearly range, and reports earnings TOMORROW. That's a loaded coil — either the beat sends it to new highs, or any hint of margin pressure from China dumping supply gets punished hard. The unusual call buying (13,944 contracts at \$1050, 11x normal open interest) tells me institutional money is positioning for upside, not hedging downside — that's the tell. Bigger picture: the AI HBM (high-bandwidth memory chips that go into Nvidia GPUs) cycle is real and MU is one of only three players globally, so even if China floods the commodity DRAM market, the high-margin AI stuff is a different beast.

POLICY & POLITICAL WATCH

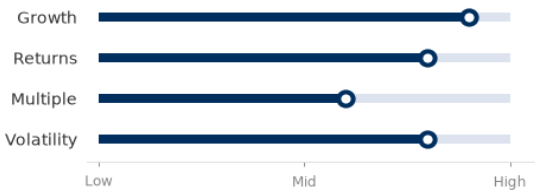
The CHIPS and Science Act remains MU's biggest political tailwind — they've been awarded roughly \$6.1B in federal grants to build fabs in Idaho and New York, and the current administration has kept the money flowing despite earlier threats to renegotiate. Watch for two things: (1) any new export controls on advanced memory to China (would hurt near-term revenue but choke off Chinese competitors long-term — net positive), and (2) whether Congress moves on the proposed "Secure Semiconductor Supply Chain Act" that would give tax credits for buying American-made memory. If the China oversupply narrative gains traction in DC, expect tariff talk on Chinese memory imports — that would be rocket fuel for MU.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$1073.47
12M Price Target	\$1250.00
Upside / (Downside)	+16.4%
Market Cap	\$1.21T
FY2026E Revenue	\$52,000M
FY2027E Revenue	\$68,000M
FY2026E EPS	\$42.50
FY2027E EPS	\$58.00
Fwd P/E	25.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1200.00	\$1120.00	\$980.00
6 Months	\$1400.00	\$1250.00	\$900.00
1 Year	\$1600.00	\$1300.00	\$850.00
2 Years	\$2000.00	\$1500.00	\$800.00
5 Years	\$2800.00	\$1900.00	\$700.00
10 Years	\$4000.00	\$2500.00	\$600.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+1.25%) leading as AI-adjacent names catch a bid; Healthcare quietly grinding higher on defensive rotation. Semis broadly still the market's engine thanks to CHIPS Act money and AI capex.

COOLING OFF: Financials (-2.2% over 5 days) — rate uncertainty is weighing on banks; Energy (-1.85% 5D) as oil softens on demand concerns.

ROTATION WATCH: Money is staying in AI infrastructure but getting more selective — the "buy anything with a GPU" trade is maturing into "buy the picks and shovels with real earnings." MU fits that bucket perfectly since HBM has actual pricing power right now.

RELATED PLAY: If MU rips post-earnings, watch AMAT and LRCX (semiconductor equipment makers) — they sell the tools MU needs to build HBM capacity, and they benefit whether MU or Samsung or SK Hynix wins the capacity race.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the king — every HBM chip MU sells is basically going into an Nvidia GPU, so they move in sympathy.
- AVGO (Broadcom): Custom AI silicon story keeps expanding, benefiting from same hyperscaler capex wave.

MU CONTEXT: MU has actually OUTPERFORMED most semi peers over the last 3 months because memory was the "late cycle" AI trade that finally caught fire. That's a double-edged sword — when leaders start lagging, it often signals rotation. Watch if MU can hold above \$1050 post-earnings; that's the line between "healthy consolidation" and "top is in."

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$1000-1040 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing crack of >15% or CHIPS Act funding clawback

Hedging: Pair with a short in a lower-quality memory name or buy protective puts around earnings